

Company Registration No: 199603760M

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

DIRECTORS' STATEMENT
AND FINANCIAL STATEMENTS

31 DECEMBER 2025

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

31 DECEMBER 2025

CONTENTS	PAGE
Directors' Statement	1 - 3
Independent Auditor's Report	4 - 6
Statement of Comprehensive Income	7
Statement of Financial Position	8
Statement of Changes in Equity	9
Statement of Cash Flows	10
Notes to the Financial Statements	11 - 52

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

DIRECTORS' STATEMENT

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

The directors are pleased to present their statement to the members together with the audited financial statements of TDS Technology (S) Pte Ltd (the "Company") for the financial year ended 31 December 2025.

In the opinion of the directors:

- (a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2025 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date; and
- (b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

1 Names of Directors

The directors of the Company in office at the date of this statement are:

Thang Yee Chin	
Tan Teck Pew	(Resigned on 1 April 2026)
Teo Cher Koon	(Appointed on 1 April 2026)
Tan Li Peng	(Appointed on 12 January 2026)
Cham Ai Peng	(Appointed on 12 January 2026)

2 Arrangements to Enable Directors to Acquire Shares or Debentures

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose object was to enable the directors of the Company to acquire benefits by means of the acquisition of shares or debentures of the Company or any other body corporate.

3 Directors' Interests in Shares or Debentures

As recorded in the register of directors' shareholdings under Section 164 of the Singapore Companies Act 1967 (the "Act"), none of the directors holding office at the end of the financial year has any interest in the shares of the Company and its related corporations either at the beginning or the end of the financial year, except as disclosed below.

	Holdings registered in the name of directors		Holdings in which a director is deemed to have an interest	
	As at <u>1.1.2025</u>	As at <u>31.12.2025</u>	As at <u>1.1.2025</u>	As at <u>31.12.2025</u>
	No. of ordinary shares			
The Company				
- <u>TDS Technology (S) Pte Ltd</u>				
Thang Yee Chin *	-	-	611,853	611,853
Tan Teck Pew	92,984	92,984	-	-

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

DIRECTORS' STATEMENT

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Directors' Interests in Shares or Debentures (cont'd)

	Holdings registered in the name of directors		Holdings in which a director is deemed to have an interest	
	As at <u>1.1.2025</u>	As at <u>31.12.2025</u>	As at <u>1.1.2025</u>	As at <u>31.12.2025</u>
	No. of ordinary shares			
The immediate holding company - <u>Motion Control Group Pte. Ltd.</u>				
Thang Yee Chin *	-	-	69,100,617	69,100,617
The intermediate holding company - <u>ISDN Holdings Limited</u>				
Thang Yee Chin *	-	-	145,422,758	147,687,399
The ultimate holding company - <u>Assetraise Holdings Limited</u> **				
Thang Yee Chin *	1	1	-	-

* Mdm Thang Yee Chin is deemed to have an interest in the shares of the Company, as she is deemed the ultimate beneficial shareholder of ISDN Holdings Limited.

** The Share of Assetraise Holdings Limited is jointly owned by Mr. Teo Cher Koon and his spouse, Mdm. Thang Yee Chin.

4 Share Options

Options Granted

During the financial year, no options to take up unissued shares of the Company and its related corporations were granted.

Options Exercised

During the financial year, no shares of the Company and its related corporations were issued by virtue of the exercise of options to take up unissued shares.

Options Outstanding

At the end of the financial year, no outstanding options to take up unissued shares of the Company and its related corporations were granted.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

DIRECTORS' STATEMENT

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

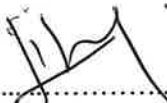
5 Independent Auditors

The independent auditors, Moore Stephens LLP, have expressed their willingness to accept re-appointment.

On behalf of the Board of Directors,



.....
THANG YEE CHIN



.....
TAN LI PENG

Singapore
15 June 2026

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF**TDS TECHNOLOGY (S) PTE LTD**
(Incorporated in Singapore)**Report on the Audit of the Financial Statements****Opinion**

We have audited the financial statements of TDS Technology (S) Pte Ltd (the "Company"), which comprise the statement of financial position of the Company as at 31 December 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows of the Company for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the financial statements of the Company are properly drawn up in accordance with the provisions of the Companies Act 1967 (the "Act") and Singapore Financial Reporting Standards (International) ("SFRS(I)s") so as to give a true and fair view of the financial position of the Company as at 31 December 2025 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing ("SSAs"). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority ("ACRA") *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* ("ACRA Code") together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Information

Management is responsible for the other information. The other information comprises the Directors' Statement.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF

TDS TECHNOLOGY (S) PTE LTD (Incorporated in Singapore)

(cont'd)

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and SFRS(I)s, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



MOORE

MOORE STEPHENS LLP
CHARTERED ACCOUNTANTS OF SINGAPORE

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

(cont'd)

Auditor's Responsibilities for the Audit of the Financial Statements (cont'd)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

The engagement partner on the audit results in this independent auditor's report is Ling Kim Chuan.

Moore Stephens LLP

Moore Stephens LLP
Public Accountants and
Chartered Accountants

Singapore
15 June 2026

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

STATEMENT OF COMPREHENSIVE INCOME

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	<u>Note</u>	<u>2025</u> S\$	<u>2024</u> S\$
Revenue	5a	9,572,564	9,348,850
Cost of sales		(7,358,931)	(6,862,726)
Gross profit		2,213,633	2,486,124
Other operating income	6	607,812	674,530
Allowance for impairment loss on financial assets		(8,012)	(399,826)
Distribution costs		(1,716,612)	(1,438,145)
Administrative expenses		(1,116,783)	(1,082,108)
Other operating expenses		(223,074)	(39,193)
Finance costs	7	(40,346)	(91,498)
(Loss)/Profit before income tax	8	(283,382)	109,884
Income tax benefit	10	17,055	-
(Loss)/Profit for the year		(266,327)	109,884
Other comprehensive income		-	-
Total comprehensive (loss)/income for the year		(266,327)	109,884

The accompanying notes form an integral part of these financial statements

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2025

	<u>Note</u>	<u>2025</u> S\$	<u>2024</u> S\$
ASSETS			
Non-current Assets			
Property, plant and equipment	11	445,540	37,600
Subsidiaries	12	304,907	304,907
Deferred tax assets		2,543	-
Total non-current assets		752,990	342,507
Current Assets			
Inventories	13	1,157,349	1,393,429
Trade and other receivables	14	5,760,078	4,828,295
Cash and cash equivalents	15	525,554	1,464,030
Total current assets		7,442,981	7,685,754
Total Assets		8,195,971	8,028,261
EQUITY AND LIABILITIES			
Capital and Reserves			
Share capital	16	1,000,000	1,000,000
Other reserves	17	34,200	34,200
Retained earnings		2,933,359	3,199,686
Total Equity		3,967,559	4,233,886
Non-current Liabilities			
Bank borrowings	18	-	123,918
Deferred tax liabilities		-	12,000
Lease liabilities	21	90,091	-
Total non-current liabilities		90,091	135,918
Current Liabilities			
Bank borrowings	18	445,944	1,887,937
Trade and other payables	19	3,026,377	1,686,554
Contract liabilities	5b	651,383	81,454
Lease liabilities	21	14,617	-
Income tax liabilities		-	2,512
Total current liabilities		4,138,321	3,658,457
Total Liabilities		4,228,412	3,794,375
Total Equity and Liabilities		8,195,971	8,028,261

The accompanying notes form an integral part of these financial statements

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

STATEMENT OF CHANGES IN EQUITY

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	<u>Share capital</u> S\$	<u>Retained earnings</u> S\$	<u>Other reserves</u> S\$	<u>Total equity</u> S\$
Balance at 1 January 2025	1,000,000	3,199,686	34,200	4,233,886
Loss for the year	-	(266,327)	-	(266,327)
Other comprehensive income	-	-	-	-
Total comprehensive loss for the year	-	(266,327)	-	(266,327)
Balance at 31 December 2025	<u>1,000,000</u>	<u>2,933,359</u>	<u>34,200</u>	<u>3,967,559</u>
Balance at 1 January 2024	1,000,000	3,089,802	34,200	4,124,002
Profit for the year	-	109,884	-	109,884
Other comprehensive income	-	-	-	-
Total comprehensive income for the year	-	109,884	-	109,884
Balance at 31 December 2024	<u>1,000,000</u>	<u>3,199,686</u>	<u>34,200</u>	<u>4,233,886</u>

The accompanying notes form an integral part of these financial statements

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

STATEMENT OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

	<u>2025</u>	<u>2024</u>
	S\$	S\$
Cash Flows from Operating Activities		
(Loss)/Profit before income tax	(283,382)	109,884
Adjustments for:		
Depreciation of property, plant and equipment	130,195	173,029
Dividend income	(225,000)	(375,000)
Allowance for inventories obsolescence	171,295	39,193
Allowance for impairment loss on trade and other receivables, net	8,012	399,826
Interest expense	40,346	91,498
Interest income	-	(1,788)
Inventories written off	2,056	-
Unrealised currency translation differences	33,447	(13,728)
Operating cash flows before working capital changes	(123,031)	422,914
Changes in working capital:		
Inventories	62,729	901,108
Trade and other receivables	(914,439)	(125,007)
Trade and other payables and contract liabilities	1,909,751	(372,933)
Cash generated from operations	935,010	826,082
Interest paid	(40,346)	(85,711)
Interest received	-	1,788
Net cash generated from operating activities	<u>894,664</u>	<u>742,159</u>
Cash Flows from Investing Activities		
Purchase of property, plant and equipment	(433,427)	(16,397)
Loan to a subsidiary	(93,632)	-
Dividend received from a subsidiary	225,000	375,000
Increase in amount owing by subsidiaries	41,720	(58,155)
Net cash (used in)/generated from investing activities	<u>(260,339)</u>	<u>300,448</u>
Cash Flows from Financing Activities		
Repayment of bank loans, net	(364,399)	(451,546)
(Repayment)/Proceeds from trust receipts, net	(1,201,512)	749,162
Interest paid	-	(3,446)
Repayment of principal portion of lease liabilities	-	(137,328)
Net cash (used in)/generated from financing activities	<u>(1,565,911)</u>	<u>156,842</u>
Net (decrease)/increase in cash and cash equivalents	(931,586)	1,199,449
Cash and cash equivalents at the beginning of the year	1,464,030	267,797
Effect of currency translation on cash and cash equivalents	(6,890)	(3,216)
Cash and cash equivalents at the end of the year (Note 15)	<u>525,554</u>	<u>1,464,030</u>

The accompanying notes form an integral part of these financial statements

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

These notes form an integral part of and should be read in conjunction with the accompanying financial statements:

1 General

TDS Technology (S) Pte Ltd (the “Company”) is a private limited company incorporated and domiciled in Singapore. The Company’s registered office and principal place of business is at 1 Bulim Lane 2, #03-53, Singapore 648110.

The immediate holding company is Motion Control Group Pte. Ltd., a company incorporated in Singapore.

The intermediate holding company is ISDN Holdings Limited, a public limited liability company incorporated and domiciled in Singapore and is dual listed on the Mainboard of the Singapore Exchange Securities Trading Limited (“SGX-ST”) and the Main Board of The Stock Exchange of Hong Kong Limited (“SEHK”).

The ultimate holding company is Assetraise Holdings Limited, a company incorporated in the British Virgin Islands. Assetraise Holdings Limited is beneficially owned entirely by Mr Teo Cher Koon, the Managing Director and President of ISDN Holdings Limited and his spouse, Mdm Thang Yee Chin.

The Company’s principal activities are to carry on the business of wholesalers of electronic components.

The financial statements for the financial year ended 31 December 2025 were authorised for issue in accordance with a resolution of the directors on the date of the Directors’ Statement.

2 Adoption of New and Revised Singapore Financial Reporting Standards (International) (“SFRS(I)s”)

Adoption of New and Revised SFRS(I) issued which are effective

On 1 January 2025, the Company has adopted the new or amended SFRS(I) and SFRS(I) Interpretations (“SFRS(I) INTs”) that are mandatory for application for the financial year. Changes to the Company’s accounting policies have been made as required, in accordance with the transitional provisions in the respective SFRS(I) and SFRS(I) INTs. The adoption of these new or amended SFRS(I) and SFRS(I) INTs did not result in substantial changes to the Company’s accounting policies and had no material effect on the amounts reported for the current or prior financial years.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

2 Adoption of New and Revised Singapore Financial Reporting Standards (International) (“SFRS(I)s”) (cont’d)

Adoption of New and Revised SFRS(I) issued but not yet effective

At the date of authorisation of these financial statements, the following standards that have been issued and are relevant to the Company but not yet effective:

Description		Effective for annual financial periods beginning on or after
Amendments to SFRS(I) 9 and SFRS(I) 7	<i>Amendments to the Classification and Measurement of Financial Instruments</i>	1 January 2026
<i>Annual Improvements to SFRS(I)s – Volume 11</i>		1 January 2026
Amendments to SFRS(I) 18	<i>Presentation and Disclosure in Financial Statements</i>	1 January 2027
Amendments to SFRS(I) 19	<i>Subsidiaries without Public Accountability: Disclosures</i>	1 January 2027
Amendments to SFRS(I) 1-21	<i>Translation to a Hyperinflationary Presentation Currency</i>	1 January 2027
Amendments to SFRS(I) 10 and SFRS(I) 1-28	<i>Investments in Associates and Joint Ventures - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture</i>	Deferred indefinitely, early application is still permitted

SFRS(I) 18: Presentation and Disclosure in Financial Statements

This standard will replace SFRS(I)1-1 Presentation of Financial Statements. Whilst many of the requirements will remain consistent, the new standard will have impacts on the presentation of the Statement of Profit and Loss and consequential impacts on the Statement of Cash Flows. It will also require the disclosure of the non-SFRS(I) management performance measures and may impact the level of aggregation and disaggregation throughout the primary financial statements and the notes.

An entity is required to apply the amendments to SFRS(I) 1-1 for annual reporting periods beginning on or after 1 January 2027. Earlier application is permitted. SFRS(I) 18 requires retrospective application with specific transition provisions.

Other than the above, the Directors do not expect any material impact from the application of these standards.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies

(a) Basis of Preparation

The financial statements of the Company have been prepared in accordance with the SFRS(I)s as issued by Accounting Standards Council. These financial statements have been prepared under the historical cost convention, except as disclosed in the accounting policies in the following pages.

(b) Investment in Subsidiaries

Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Company has control. The Company controls an entity when the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Company. They are deconsolidated from the date that control ceases.

Investments in subsidiaries are carried at cost less accumulated impairment losses in the statement of financial position of the Company.

On disposal of investments in subsidiaries, the difference between the net disposal proceeds and the carrying amount of investments are recognised in profit or loss.

Exemption from consolidation

The financial statements are the separate financial statements of the Company. The Company is exempted from preparation of the consolidated financial statements as:

- The Company is a 61.2% owned subsidiary of Motion Control Group Pte. Ltd., a company incorporated in Singapore and all its other owners, have been informed about, and do not object to the Company not presenting consolidated financial statements;
- The Company's debts and equity instruments are not traded in a public market;
- The Company did not file, nor is in the process of filing, its financial statements with a securities commission or other regulatory organisation for the purpose of issuing any class of instruments in a public market; and
- The Company's ultimate holding company, ISDN Holdings Limited, whose registered office is at 101 Defu Lane 10 Singapore 539222, produces consolidated financial statements which are available for public use.

Dividends from investment in subsidiaries and associates continue to be recognised in profit or loss as other income when the Company's right to receive payments is established. Dividends are included in the 'other operating income' line item in profit or loss.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(c) Foreign Currencies

Functional and presentation currency

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates (its functional currency). The financial statements of the Company are presented in Singapore dollars, which is the functional currency of the Company.

Transactions and balances

In preparing the financial statements of the Company, transactions in currencies other than the Company's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Currency translation differences resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at the closing rates at the statement of financial position date are recognised in profit or loss.

Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

(d) Property, Plant and Equipment

All items of property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Subsequent expenditure related to property, plant and equipment that has already been recognised is added to the carrying amount of the asset only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. All other repairs and maintenance expenses are recognised in profit or loss when incurred.

Depreciation is recognised to write off the depreciable amount of the assets over their estimated useful lives, using the straight-line method:

Leasehold property (right-of-use asset)	As per lease term
Office equipment	3 to 5 years
Computers	3 years
Demonstration equipment	5 years
Furniture and fittings	5 years
Office renovation	5 years

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(d) Property, Plant and Equipment (cont'd)

The carrying amounts of property, plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying amount may not be recoverable.

The residual value, useful life and depreciation method are reviewed at each year end, with the effect of any changes in estimate accounted for on a prospective basis. The effects of any revision are recognised in profit or loss when the changes arise.

Property, plant and equipment are derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

(e) Government Grants

Grants from the government are recognised at their fair value when there is reasonable assurance that the grant will be received and the Company will comply with all the attached conditions.

Government grants receivable are recognised as income over the periods necessary to match them with the related costs which they are intended to compensate, on a systematic basis. Government grants relating to expenses are shown separately as other income. Government grants relating to assets are deducted against the carrying amount of the assets.

(f) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined on a weighted average method.

Cost includes the actual cost of materials and incidentals in bringing the inventories into store.

Net realisable value represents the estimated selling price in the ordinary course of business less all estimated costs of completion and costs necessary to make the sale. Allowance is made for obsolete and slow-moving items.

(g) Financial Assets

(i) Classification and Measurement

The Company classifies its financial assets as those to be measured at amortised cost. The classification depends on the Company's business model for managing the financial assets and the contractual terms of the cash flows.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(g) Financial Assets (cont'd)

(i) Classification and Measurement (cont'd)

Initial recognition

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss ("FVPL"), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amount collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement

Debt instruments mainly comprise of trade and other receivables (excluding GST receivables and prepayments) and cash and cash equivalents. Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the cash flow characteristics of the asset.

Amortised cost

Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. A gain or loss on a debt instrument that is subsequently measured at amortised cost and is not part of a hedging relationship is recognised in profit or loss when the asset is derecognised or impaired. For debt instrument that is measured at amortised cost that are not part of a designated hedging relationship, exchange differences are recognised in profit or loss. Impairment losses are deducted from the gross carrying amount of these assets and are presented as separate line item in profit or loss.

Interest income is recognised in profit or loss and is included in the "other operating income" line item.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(g) Financial Assets (cont'd)

(ii) Impairment

The Company assesses on a forward looking basis the expected credit losses associated with the financial assets measured at amortised costs.

Loss allowances of the Company are measured on either of the following bases:

- 12-month ECLs – represents the ECLs that result from default events that are possible within the 12 months after the reporting date (or for a shorter period if the expected life of the instrument is less than 12 months); or
- Lifetime ECLs – represents the ECLs that will result from all possible default events over the expected life of a financial instrument or contract asset.

The impairment methodology applied depends on whether there has been a significant increase in credit risk.

Simplified approach - Trade receivables

The Company applies the simplified approach to provide ECLs for all trade receivables as permitted by SFRS(I) 9. The simplified approach requires expected lifetime losses to be recognised from initial recognition of the receivables. The expected credit losses on these financial assets are estimated using a provision matrix based on the Company's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

General approach - Other financial instruments

The Company applies the general approach to provide for ECLs on all other financial instruments which requires the loss allowance to be measured at an amount equal to 12-month ECLs at initial recognition.

At each reporting date, the Company assesses whether the credit risk of a financial instrument has increased significantly since initial recognition. When credit risk has increased significantly since initial recognition, loss allowance is measured at an amount equal to lifetime ECLs.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(g) Financial Assets (cont'd)

(ii) Impairment (cont'd)

General approach - Other financial instruments (cont'd)

In assessing whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information that is reasonable and supportable, including the Company's historical experience and forward-looking information that is available without undue cost or effort. Forward-looking information considered includes the future prospects of the industries in which the Company's debtors operate, obtained from economic expert reports, financial analysts, governmental bodies, and other similar organisations, as well as consideration of various external sources of actual and forecast economic information that relate to the Company's core operations.

If credit risk has not increased significantly since initial recognition or if the credit quality of the financial instruments improves such that there is no longer a significant increase in credit risk since initial recognition, loss allowance is measured at an amount equal to 12-month ECLs.

The Company considers the following as constituting an event of default for internal credit risk management purposes as historical experience indicates that a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(g) Financial Assets (cont'd)

(ii) Impairment (cont'd)

Credit-impaired financial assets

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. At each reporting date, the Company assesses whether financial assets carried at amortised cost are credit impaired.

Evidence that a financial asset is credit-impaired includes the observable data about the following events:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the lender(s) of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower or a concession(s) that the lender(s) would not otherwise consider;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Measurement of ECLs

ECLs are probability-weighted estimates of credit losses. Credit losses are measured at the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

Write-off policy

The Company writes off a financial asset when there is information indicating that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the counterparty has been placed under liquidation or has entered into bankruptcy proceedings, or in the case of trade receivables, when the amounts are over two years past due, whichever occurs sooner. Financial assets written off may still be subject to enforcement activities under the Company's recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognised in profit or loss.

(iii) Recognition and Derecognition

Financial assets are recognised when, and only when the Company becomes party to the contractual provisions of the instruments. All regular way purchases and sales of financial assets are recognised on trade-date, the date on which the Company commits to purchase or sell the asset.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(g) Financial Assets (cont'd)

(iii) Recognition and Derecognition (cont'd)

The Company derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset measured at amortised cost, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognised in profit or loss.

Trade receivables that are factored out to banks and other financial institutions with recourse to the Company are not derecognised until the recourse period has expired and the risks and rewards of the receivables have been fully transferred. The corresponding cash received from the financial institutions is recorded as borrowings.

(h) Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowings of funds.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest method.

(i) Cash and Cash Equivalents

Cash and cash equivalents comprise cash on hand, bank balances and short-term, highly liquid investments that are readily convertible to known amount of cash and which are subject to an insignificant risk of changes in value. For the purpose of presentation in the statement cash flows, cash and cash equivalents consist of cash and cash equivalents as defined above.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(j) Share Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital account.

(k) Dividends to Company's Shareholders

Dividends to the Company's shareholders are recognised when the dividends are approved for payment.

(l) Financial Liabilities

The Company shall recognise a financial liability on its statement of financial position when, and only when, the Company becomes a party to the contractual provisions of the instrument.

Financial liabilities are initially measured at fair value, plus any directly attributable transaction costs and are subsequently measured at amortised cost using the effective interest method.

Financial liabilities are presented as "bank borrowings", "trade and other payables" and "lease liabilities" on the statement of financial position.

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

(m) Impairment of Non-Financial Assets

Non-financial assets are tested for impairment whenever there is any indication that these assets may be impaired.

At the end of each reporting period, the Company reviews the carrying amounts of its non-financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any), on an individual asset.

Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(m) Impairment of Non-Financial Assets (cont'd)

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. The difference between the carrying amount and recoverable amount is recognised as an impairment loss in profit or loss.

An assessment is made at each statement of financial position date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

(n) Revenue Recognition

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation ("PO") by transferring a promised goods or service to the customer, which is when the customer obtains control of the goods or service. A PO may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied PO.

Sale of goods

The Company supplies integrated engineering solutions in relation to motion control.

Revenue from sale of goods in the ordinary course of business is recognised when the control of the goods has transferred, being when the goods are delivered to the customer, the customer has full discretion over the manner of distribution and price to sell the goods, and there is no unfulfilled obligation that could affect the customer's acceptance of the goods. Delivery occurs when the goods have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has not have accepted the products in accordance with the sales contract, the acceptance provisions have lapsed, or the Company has the objective evidence that all criteria for acceptance have been satisfied.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(n) Revenue Recognition (cont'd)

Sale of goods (cont'd)

A receivable is recognised when the goods are delivered as this represents the point in time that the right to consideration is unconditional because only the passage of time is required before the payment is due.

Revenue is recognised at a point in time following the timing of satisfaction of the PO. If a PO is satisfied over time, revenue is recognised based on the percentage of completion reflecting the progress towards complete satisfaction of that PO.

Rendering of services

Technical service and administrative income

Technical service income and administrative income are recognised when the services have been performed and rendered.

(o) Employee Benefits

Defined contribution plans

Defined contribution plans are post-employment benefit plans which the Company pays fixed contributions on a mandatory, contractual or voluntary basis. The Company has no further payment obligations once the contributions have been paid.

Employee leave entitlements

No provision has been made for employee leave entitlements as any unconsumed annual leave not utilised will be forfeited.

(p) Income Tax

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(p) Income Tax (cont'd)

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associate except where the Company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

The Company recognises a previously unrecognised deferred tax asset to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(p) Income Tax (cont'd)

Current and deferred tax for the period

Current and deferred tax are recognised as income or an expense in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

(q) Leases

When the Company is a lessee

At the inception of the contract, the Company assesses if the contract contains a lease. A contract contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Reassessment is only required when the terms and conditions of the contract are changed.

The Company recognises right-of-use assets and lease liabilities at the date which the underlying assets become available for use. Right-of-use assets are measured at cost, which comprises the initial measurement of lease liabilities adjusted for any lease payments made at or before the commencement dates, plus any initial direct costs incurred and an estimate of restoration costs, less any lease incentives received. Any initial direct costs that would not have been incurred if the lease had not been obtained are added to the carrying amount of the right-of-use assets.

Right-of-use assets are subsequently depreciated using the straight-line method from the commencement dates to the earlier of the end of the useful lives of the right-of-use assets or the end of the lease terms. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. In addition, the right-of-use assets are periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the corresponding lease liabilities. The Company presents its right-of-use assets in "property, plant and equipment" in the statement of financial position.

The initial measurement of lease liabilities is measured at the present value of the lease payments discounted using the implicit rate in the lease, if the rate can be readily determined. If that rate cannot be readily determined, the Company uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed payments (including in-substance fixed payments), less any lease incentives receivables;
- Variable lease payments that are based on an index or rate, initially measured using the index or rate as at the commencement date;
- Amounts expected to be payable under residual value guarantees;
- The exercise price of a purchase option if it is reasonably certain to exercise the option; and
- Payment of penalties for terminating the lease, if the lease term reflects the Company exercising that option.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(q) Leases (cont'd)

When the Company is a lessee (cont'd)

For contracts that contain both lease and non-lease components, the Company allocates the consideration to each lease component on the basis of the relative stand-alone price of the lease and non-lease components. The Company has elected not to separate lease and non-lease components for property leases; instead, these are accounted for as one single lease component.

Lease liabilities are measured at amortised cost, and are remeasured when:

- There is a change in future lease payments arising from changes in an index or rate;
- There is a change in the Company's assessment of whether it will exercise lease extension and termination options;
- There is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee; or
- There is a modification to the lease term.

When lease liabilities are remeasured, corresponding adjustments are made against the right-of-use assets. If the carrying amounts of the right-of-use assets have been reduced to zero, the adjustments are recorded in profit or loss. The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases that have lease terms of 12 months or less, as well as leases of low value assets, except in the case of sub-lease arrangements. Lease payments relating to these leases are expensed to profit or loss on a straight-line basis over the lease term.

Variable lease payments that are based on an index or a rate are included in the measurement of the corresponding right-of-use assets and lease liabilities. Other variable lease payments are recognised in profit or loss when incurred.

Short-term lease and lease of low-value assets

The Company applies the short-term leases recognition exemption to its short-term leases (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases that are considered to be low value. Lease payment on short-term leases and leases of low-value assets are recognised as an expense on a straight-line basis over the lease term.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

3 Material Accounting Policies (cont'd)

(r) Related Parties

A related party is a person or entity that is related to the entity that is preparing its financial statements (in this Standard referred to as the “reporting entity”).

- a. A person or a close member of that person’s family is related to a reporting entity if that person:
 - i. has control or joint control over the reporting entity;
 - ii. has significant influence over the reporting entity; or
 - iii. is a member of the key management personnel of the reporting entity or of a parent of the reporting entity.
- b. An entity is related to a reporting entity if any of the following conditions applies:
 - i. the entity and the reporting entity are members of the same Company (which means that each parent, subsidiary and fellow subsidiary is related to the others);
 - ii. one entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a Company of which the other entity is a member);
 - iii. both entities are joint ventures of the same third party;
 - iv. one entity is a joint venture of a third entity and the other entity is an associate of the third entity;
 - v. the entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity. If the reporting entity is itself such a plan, the sponsoring employers are also related to the reporting entity;
 - vi. the entity is controlled or jointly controlled by a person identified in (a);
 - vii. a person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity); or
 - viii. the entity, or any member of a Company of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

4 Critical Accounting Judgements and Key Sources of Estimation Uncertainty

In the application of the Company's accounting policies, which are described in Note 3, the management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

(a) Critical Judgements in applying Accounting Policies

In the process of applying the Company's accounting policies, the application of judgements that are expected to have a significant effect on the amounts recognised in the financial statements are disclosed below.

i. Allowance for inventory obsolescence

Changes in market conditions and technology advances, and the corresponding effects on customer's demand levels and specification requirements, may result in excess, slow-moving or obsolete inventories that command selling prices below costs. At the end of each reporting period, the Company reviews the carrying amount of its inventories to ensure that they are stated at the lower of cost and net realisable value ("NRV"). Management uses judgement in the estimation of the NRV and allowance for inventory obsolescence, based on the best available facts and circumstances at the end of each reporting period. Inappropriate judgment in the estimates made could result in changes to the amount of the allowance for inventory obsolescence.

During the financial year, the Company recognised a net allowance for inventories obsolescence of S\$171,295 (2024: S\$39,193) (Note 8). The carrying amount of the Company's inventories as at 31 December 2025 is disclosed in Note 13.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

4 Critical Accounting Judgements and Key Sources of Estimation Uncertainty (cont'd)

(b) Key Sources of Estimation Uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

i. Allowance for impairment loss of trade receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on internal credit ratings for groupings of various customer segments that have similar loss patterns. The provision matrix is initially based on the Company's historical observed default rates in the recent past two years. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed. The assessment of the correlation between internal credit ratings, historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in the internal credit ratings of the customers. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

The information about the ECLs on the Company's trade receivables is disclosed in Note 22(a). The carrying amount of the Company's trade receivables as at 31 December 2025 is disclosed in Note 14.

ii. Impairment of investments in subsidiaries

The Company assesses at each reporting date whether there is any indication that the investments in subsidiaries may be impaired. To determine whether there is any indication that those investments have suffered an impairment loss, the Company considers factors such as the decline in business or financial performance, financial position, changes in customer demand, consumer tastes and trends, and the overall economic environment. These reviews require the use of judgement, which could result in revisions to the recoverable amount of the investments in subsidiaries.

The carrying amounts of the Company's investments in subsidiaries as at 31 December 2025 and further details on the impairment testing of investments in subsidiaries are disclosed in Note 12.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

5 Revenue and Contract Liabilities

(a) Revenue

The Company's revenue is from sale of integrated engineering solution - motion controls in the following geographical markets which goods are transferred at a point in time and over time.

	<u>2025</u> S\$	<u>2024</u> S\$
Singapore	8,213,983	7,186,005
Denmark	2,831	-
Japan	223,335	-
China	34,510	177,546
Malaysia	242,454	265,566
Thailand	769,880	974,812
Other ASEAN countries	85,571	744,921
	<u>9,572,564</u>	<u>9,348,850</u>
Timing of revenue recognition:		
Point in time	8,120,588	7,859,965
Point over time	1,451,976	1,488,885
	<u>9,572,564</u>	<u>9,348,850</u>

(b) Contract liabilities

	<u>31 December</u> <u>2025</u> S\$	<u>2024</u> S\$	<u>1 January</u> <u>2024</u> S\$
Contract liabilities	<u>651,383</u>	<u>81,454</u>	<u>375,012</u>
<u>Contract liabilities</u>			
	<u>2025</u> S\$	<u>2024</u> S\$	
Revenue recognised in the current year that was included in the contract liabilities at the beginning of the year	76,671	370,841	
Changes due to cash received, excluding amounts recognised as revenue during the year	<u>646,600</u>	<u>77,283</u>	

Contract liabilities relate to the advances received for sales of goods. Contract liabilities are recognised as revenue when the performance obligation of transferring the goods is satisfied at a point in time and over time.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

6 Other Operating Income

	<u>2025</u>	<u>2024</u>
	S\$	S\$
Interest income:		
- loan to subsidiary	-	1,788
Commission income	94,247	-
Dividend income	225,000	375,000
Government grants	20,438	35,532
Administrative income	58,530	72,325
Technical service income	191,750	133,980
Realised gain on foreign exchange	-	38,835
Unrealised gain on foreign exchange	-	13,728
Other income	17,847	3,342
	<u>607,812</u>	<u>674,530</u>

7 Finance Costs

	<u>2025</u>	<u>2024</u>
	S\$	S\$
Loan interest		
Interest expense on:	-	2,341
- overdraft	50	29
- term loan	6,797	28,006
- trust receipts	33,499	57,676
- lease liabilities	-	3,446
	<u>40,346</u>	<u>91,498</u>

8 (Loss)/Profit before Income Tax

	<u>2025</u>	<u>2024</u>
	S\$	S\$
(Loss)/Profit before income tax has been arrived at after charging:		
Distribution costs include:		
- freight and handling charges	62,278	68,091
Administrative expenses include:		
- depreciation of property, plant and equipment	130,195	173,029
- low value lease expenses	58,823	3,939
- withholding tax	12,482	5,850
Other operating expenses include:		
- realised loss on foreign exchange	16,276	-
- unrealised loss on foreign exchange	33,447	-
- allowance for inventories obsolescence	171,295	39,193
- inventories written off	2,056	-

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

9 Employee Benefits

	<u>2025</u> S\$	<u>2024</u> S\$
Directors' remuneration:		
- salaries and related costs	275,500	343,798
- defined contribution plans	20,368	27,412
Key management personnel (other than directors):		
- salaries and related costs	717,833	469,783
- defined contribution plans	92,344	61,710
Other than directors and key management personnel:		
- salaries and related costs	983,043	1,010,593
- defined contribution plans	92,268	105,838
	<u>2,181,356</u>	<u>2,019,134</u>

10 Income Tax

	<u>2025</u> S\$	<u>2024</u> S\$
Current income tax		
- over provision in respect of prior years	(2,512)	-
Deferred taxation		
- current year	(2,543)	-
- reversal of temporary differences	(12,000)	-
	<u>(14,543)</u>	<u>-</u>
	<u>(17,055)</u>	<u>-</u>

The income tax benefit on the (loss)/profit before income tax varies from the amount of income tax benefit determined by applying the Singapore statutory income tax rate of 17% (2024: 17%) due to the following differences:

	<u>2025</u> S\$	<u>2024</u> S\$
(Loss)/Profit before income tax	(283,382)	109,884
Income tax calculated at the statutory tax rate	(48,175)	18,680
Non-deductible expense	10,734	23,548
Non-taxable income*	(38,250)	(63,750)
Deferred tax assets not recognised	61,148	21,522
Over provision in respect of prior years	(2,512)	-
	<u>(17,055)</u>	<u>-</u>

* Non-taxable income relates to dividend income from subsidiaries.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

10 Income Tax (cont'd)

Unrecognised tax losses

As at 31 December 2025, the Company has unutilised tax losses and donations of approximately S\$555,826 (2024: S\$196,133) which are available for offset against future taxable income, subject to the agreement of the tax authorities and compliance of the relevant provisions of the Income Tax Act. Deferred tax asset arising from these unutilised tax losses and donations of approximately S\$94,490 (2024: S\$33,342) has not been recognized in accordance with the Company's accounting policy stated in Note 3(p).

11 Property, Plant and Equipment

	<u>Leasehold property</u> S\$	<u>Office equipment</u> S\$	<u>Computers</u> S\$	<u>Demonstration equipment</u> S\$	<u>Furniture and fittings</u> S\$	<u>Office renovation</u> S\$	<u>Total</u> S\$
2025							
<u>Cost</u>							
At 1 January	137,328	89,260	257,481	524,829	89,722	31,304	1,129,924
Additions	104,708	218,630	26,035	3,938	19,747	165,077	538,135
Written off	(137,328)	(81,311)	(56,296)	(290,744)	(73,548)	(31,304)	(670,531)
At 31 December	104,708	226,579	227,220	238,023	35,921	165,077	997,528
<u>Accumulated depreciation</u>							
At 1 January	137,328	88,556	248,406	497,215	89,551	31,268	1,092,324
Depreciation for the year	14,958	66,690	12,071	7,716	3,775	24,985	130,195
Written off	(137,328)	(81,311)	(56,296)	(290,744)	(73,548)	(31,304)	(670,531)
At 31 December	14,958	73,935	204,181	214,187	19,778	24,949	551,988
<u>Net book value</u>							
At 31 December	89,750	152,644	23,039	23,836	16,143	140,128	445,540
2024							
<u>Cost</u>							
At 1 January	-	89,260	249,730	516,183	89,722	31,304	976,199
Additions	137,328	-	7,751	8,646	-	-	153,725
At 31 December	137,328	89,260	257,481	524,829	89,722	31,304	1,129,924
<u>Accumulated depreciation</u>							
At 1 January	-	87,285	242,599	468,710	89,433	31,268	919,295
Depreciation for the year	137,328	1,271	5,807	28,505	118	-	173,029
At 31 December	137,328	88,556	248,406	497,215	89,551	31,268	1,092,324
<u>Net book value</u>							
At 31 December	-	704	9,075	27,614	171	36	37,600

Right-of-use assets acquired under leasing arrangements are presented together with the owned assets of the same class. Details of such leased assets are disclosed in Note 21.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

12 Subsidiaries

	<u>2025</u> S\$	<u>2024</u> S\$
Unquoted equity shares, at cost	304,907	304,907

Assessment of impairment

As at 31 December 2025, the directors of the Company carried out an impairment assessment on investment in subsidiaries. Based on the director's judgment, no additional allowance for impairment has been made on the investment in subsidiaries during the current and previous financial year.

The subsidiaries of the Company as at the statement of financial position date are set out below.

<u>Name of Company</u> <u>Country of incorporation</u> <u>and principal place of business</u>	<u>Equity</u> <u>interest held</u> <u>by the Company</u>		<u>Principal activities</u>
	<u>2025</u>	<u>2024</u>	
	%	%	
ADL Control (S) Pte. Ltd. Singapore	75	75	Motion control solutions
TDS Technology (Penang) Sdn Bhd Malaysia	80	80	Motion control solutions
SDL Control (Penang) Sdn Bhd Malaysia	100	100	Motion control solutions
TDS Technology (Thailand) Co. Ltd ⁽¹⁾ Thailand	46	46	Motion control solutions

⁽¹⁾ The Company has a 46% ownership interest in TDS Technology (Thailand) Company Limited ("TDS Thailand"). The remaining 54% is held by a third party. In assessing whether the Company has control over TDS Thailand where it holds majority voting rights, the Company concluded that it holds the substantive rights to direct TDS Thailand's relevant activities and that there are strong operational barriers or incentives that would prevent (or deter) the other third party from exercising their rights. Accordingly, the Company accounted for TDS Thailand as a subsidiary in accordance with SFRS(I) 10 with effect from 1 January 2021.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

13 Inventories

	<u>2025</u>	<u>2024</u>
	S\$	S\$
Components parts, at cost	1,571,284	1,687,770
Less: Allowance for inventories obsolescence	<u>(413,935)</u>	<u>(294,341)</u>
	<u>1,157,349</u>	<u>1,393,429</u>
Cost of inventories sold recognised as cost of sales in the statement of comprehensive income	<u>7,338,801</u>	<u>6,839,426</u>

Movements in the allowance for inventories obsolescence as below:

	<u>2025</u>	<u>2024</u>
	S\$	S\$
Balance at the beginning of the year	294,341	255,148
Add: Allowance for inventories obsolescence	171,295	39,193
Less: Allowance for inventories obsolescence written off	<u>(51,701)</u>	<u>-</u>
Balance at the end of the year	<u>413,935</u>	<u>294,341</u>

14 Trade and Other Receivables

	<u>2025</u>	<u>2024</u>
	S\$	S\$
Trade receivables, net of impairment loss:		
- third parties	2,179,608	1,094,777
- subsidiaries	2,910,633	3,144,584
- related company	1,627	-
- associate of intermediate holding company	<u>39,753</u>	<u>67,035</u>
	<u>5,131,621</u>	<u>4,306,396</u>
Other receivables, net of impairment loss:		
- amount owing by subsidiaries	266,220	214,308
- deposits	15,399	33,386
- sundry receivables	<u>-</u>	<u>164</u>
	<u>281,619</u>	<u>247,858</u>
Advances paid to suppliers	325,695	3,473
Prepayments	17,656	270,568
GST receivables	<u>3,487</u>	<u>-</u>
	<u>5,760,078</u>	<u>4,828,295</u>

Trade receivables are usually due within 30 to 90 days term and non-interest bearing, except for past due trade amounts due from subsidiaries and a related company which earns interest at 4% (2024: 3.5%) per annum.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

14 Trade and Other Receivables (cont'd)

The non-trade amount owing by subsidiaries are unsecured and repayable on demand in cash. The amount owing by the subsidiaries earns interest at 4% (2024: 3.5%) per annum.

Loss allowance for trade receivables has always been measured at an amount equal to lifetime ECL as disclosed in the accounting policy Note 3(g)(ii). The Company's exposure to credit risk, and allowance for impairment loss on trade receivables and other receivable are disclosed in Note 23(a).

15 Cash and Cash Equivalents

	<u>2025</u> S\$	<u>2024</u> S\$
Cash on hand	304	1,141
Bank balances	525,250	1,462,889
Cash and cash equivalents as per the statement of cash flows	<u>525,554</u>	<u>1,464,030</u>

16 Share Capital

	<u>2025</u>		<u>2024</u>	
	No. of shares	S\$	No. of shares	S\$
Issued and fully paid:				
At the beginning and the end of the financial year	<u>1,000,000</u>	<u>1,000,000</u>	<u>1,000,000</u>	<u>1,000,000</u>

Ordinary shares of the Company do not have any par value. The holders of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions and rank equally with respect to the Company's residual assets.

17 Other Reserves

Other reserves relate to shares of the intermediate holding company, ISDN Holdings Limited, that were issued to certain employees of the Company under the ISDN Performance Share Plan 2012. The share-based payments had accordingly been accounted as deemed capital contribution by the immediate holding company.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

18 Bank Borrowings

	<u>2025</u> S\$	<u>2024</u> S\$
<u>Non-current liabilities</u>		
Secured bank loan	-	123,918
<u>Current liabilities</u>		
Secured bank loan	65,643	200,004
Unsecured bank loan	-	106,120
Trust receipt	380,301	1,581,813
	<u>445,944</u>	<u>1,887,937</u>
 Total interest-bearing liabilities	 <u>445,944</u>	 <u>2,011,855</u>

Terms and conditions of outstanding loans and borrowings are as follows:

	<u>Currency</u>	<u>Nominal interest rate</u>	<u>Year of maturity</u>	<u>2025</u> S\$	<u>2024</u> S\$
Trust receipts	SGD	COF + 1.25%	2025	-	1,581,813
Trust receipts	SGD	COF + 1.75%	2026	380,301	-
Secured term loan	SGD	Fixed rate 2.65%	2026	65,643	323,922
Unsecured term loan	SGD	Fixed rate 4.25%	2025	-	106,120
Total interest-bearing liabilities				<u>445,944</u>	<u>2,011,855</u>

The trust receipts are secured by the limited guarantee from the Company's directors, corporate guarantee provided by the intermediate holding company and floating charge over the receivables of the Company.

The bank loan was secured by the limited guarantee from the Company's directors and corporate guarantees provided by the intermediate holding company, ISDN Holdings Limited.

Financial activities in the statement of cash flows

The reconciliation of movement of liabilities to cash flows arising from financing activities is presented below.

	Cash flows				
	<u>1 January</u> S\$	<u>Proceeds</u> S\$	<u>Repayments</u> S\$	<u>Other charges</u> S\$	<u>31 December</u> S\$
<u>2025</u>					
Trust receipts	1,581,813	2,010,513	(3,212,025)	-	380,301
Term loan	430,042	-	(364,399)	-	65,643
	<u>2,011,855</u>	<u>2,010,513</u>	<u>(3,576,424)</u>	<u>-</u>	<u>445,944</u>

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

18 Bank Borrowings (cont'd)

Financial activities in the statement of cash flows (cont'd)

The reconciliation of movement of liabilities to cash flows arising from financing activities is presented below. (cont'd)

	Cash flows			Other	
	<u>1 January</u>	<u>Proceeds</u>	<u>Repayments</u>	<u>charges</u>	<u>31 December</u>
	S\$	S\$	S\$	S\$	S\$
<u>2024</u>					
Trust receipts	832,651	3,702,641	(2,953,479)	-	1,581,813
Term loan	881,588	-	(451,546)	-	430,042
	<u>1,714,239</u>	<u>3,702,641</u>	<u>(3,405,025)</u>	<u>-</u>	<u>2,011,855</u>

19 Trade and Other Payables

	<u>2025</u>	<u>2024</u>
	S\$	S\$
Trade payables:		
- third parties	2,700,078	1,049,619
- a subsidiary	52,066	55,459
- related companies	10,062	-
	<u>2,762,206</u>	<u>1,105,078</u>
Other payables:		
- accruals	195,018	378,095
- sundry creditors	17,306	32,172
- owing to intermediate holding company	37,372	-
- owing to subsidiaries	-	5,677
- owing to related companies	14,475	57,534
- GST payables	-	107,998
	<u>3,026,377</u>	<u>1,686,554</u>

Trade payables are non-interest bearing and are usually settled within 30 to 90 days term.

The amounts owing to intermediate holding company, subsidiaries and related companies are non-trade, unsecured, interest-free, and repayable on demand in cash.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

20 Related Party Transactions

Related company in the financial statements refer to group of entities.

In addition to the related party information disclosed elsewhere in the financial statements, the following are significant transactions of the Company with related parties at mutually agreed amounts during the financial year:

	<u>2025</u> S\$	<u>2024</u> S\$
Sales to subsidiaries	(1,230,514)	(1,281,875)
Sales to related companies	(9,804)	(3,433)
Sales to an associate of the intermediate holding company	(41,300)	(84,535)
Administrative income from subsidiary	(58,530)	(72,325)
Technical service income from a subsidiary	(191,750)	(133,980)
Interest income from a subsidiary	-	(1,788)
Commission income from a subsidiary	(9,950)	-
Dividend income from a subsidiary	(225,000)	(375,000)
Purchases from an associate of the intermediate holding company	11,742	3,550
Purchases from subsidiaries	64,852	94,025
Purchases from related companies	44,304	24,259

The remuneration of the Company's key management personnel, which includes the directors of the Company, are disclosed in Note 9.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

21 Lease Liabilities

	<u>2025</u> S\$	<u>2024</u> S\$
<u>Non-current liabilities</u>		
- lease liabilities (unsecured)	90,091	-
<u>Current liabilities</u>		
- lease liabilities (unsecured)	14,617	-
Total interest-bearing liabilities	<u>104,708</u>	<u>-</u>

Where the Company is a lessee

(a) Nature of the Company's leasing activities

The Company has lease contract for property premise.

The Company also has a lease with low value. The Company applies the 'lease of low-value assets' recognition exemptions for this lease.

(b) Carrying amount of right-of-use assets classified within property, plant and equipment

	<u>Leasehold properties</u>	
	<u>2025</u> S\$	<u>2024</u> S\$
At 1 January	-	-
Addition	104,708	137,328
Depreciation	(14,958)	(137,328)
At 31 December	<u>89,750</u>	<u>-</u>

(c) Lease liabilities

A reconciliation of lease liabilities arising from financing activities is as follows:

	<u>1 January</u> S\$	<u>Addition</u> S\$	<u>Cash flows</u> S\$	<u>Non-cash changes - Accretion of interest</u> S\$	<u>31 December</u> S\$
<u>2025</u>					
Lease liabilities	-	104,708	-	-	104,708
<u>2024</u>					
Lease liabilities	-	137,328	(140,774)	3,446	-

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

21 Lease Liabilities (cont'd)

Where the Company is a lessee (cont'd)

(d) Amounts recognised in profit or loss

	<u>2025</u> S\$	<u>2024</u> S\$
Depreciation of right-of-use assets	14,958	137,328
Low value leases	58,823	3,939
Interest expense on lease liabilities	-	3,446
Total amount recognised in profit or loss	<u>73,781</u>	<u>144,713</u>

(e) Total cash outflow

The Company has total cash outflows for lease of S\$Nil (2024: S\$140,774) in the financial years ended 31 December 2025 and 2024.

22 Financial Instruments

(a) Financial Risk Management Objective and Policies

The Company's activities expose it to foreign currency risk, interest rate risk, credit risk and liquidity risk. The Company's overall risk management strategy which remains unchanged from prior year, seeks to minimise adverse effects from the unpredictability of financial markets on the Company's financial performance. The Board of Directors of the intermediate holding company is responsible for setting the objectives and underlying principles of financial risk management for the Company.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

Foreign currency risk

The Company is exposed to foreign currency risk on sales and purchases transactions, bank balances and bank borrowings that are denominated in a currency other than the functional currency of the Company. The currencies giving rise to this risk are United States dollar ("USD"), Euro and other currencies (Taiwan dollar and Thai Baht).

To manage the foresaid foreign currency risk, the Company maintains a natural hedge, whenever possible, by depositing foreign currency proceeds from sales into foreign currency bank accounts which are primarily used for payments of purchases in the same currency denomination.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objective and Policies (cont'd)

Foreign currency risk (cont'd)

The Company's foreign currency exposure based on the information provided to key management is as follows:

	<u>USD</u> S\$	<u>EURO</u> S\$	<u>Others</u> S\$
31 December 2025			
<u>Financial assets</u>			
Trade and other receivables	194,984	649	93,632
Cash and cash equivalents	433,060	994	-
	<u>628,044</u>	<u>1,643</u>	<u>93,632</u>
<u>Financial liabilities</u>			
Trade and other payables	(205,785)	(1,613,536)	-
	<u>(205,785)</u>	<u>(1,613,536)</u>	<u>-</u>
Net financial assets/(liabilities)	<u>422,259</u>	<u>(1,611,893)</u>	<u>93,632</u>
31 December 2024			
<u>Financial assets</u>			
Trade and other receivables	212,695	-	-
Cash and cash equivalents	23,429	934	-
	<u>236,124</u>	<u>934</u>	<u>-</u>
<u>Financial liabilities</u>			
Trade and other payables	(122,031)	(634,299)	(55,580)
	<u>(122,031)</u>	<u>(634,299)</u>	<u>(55,580)</u>
Net financial assets/(liabilities)	<u>114,093</u>	<u>(633,365)</u>	<u>(55,580)</u>

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Foreign currency risk (cont'd)

If the following currencies strengthen by 5% (2024: 5%) against S\$ at the statement of financial position date, with all other variables being held constant, the effect arising from the net financial liabilities position will be as follows:

	(Decrease)/Increase (Loss)/Profit before tax	
	<u>2025</u>	<u>2024</u>
	S\$	S\$
USD	21,113	5,705
EURO	(80,595)	(31,668)
Others	4,682	(2,779)

A 5% (2024: 5%) weakening of the above currencies against S\$ would have had the equal but opposite effect on the above currencies to the amounts shown above, with all other variables being held constant.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rate.

The Company does not have any significant interest-earning financial assets, except for the past due trade receivables from subsidiaries and a related company and non-trade amounts owing by subsidiaries at fixed interest rate of 4% (2024: 3.5%) per annum as disclosed in Note 14. Management does not expect fixed deposit rates to fluctuate materially in the coming year from the current level and hence does not present the sensitivity analysis.

The Company's exposure to interest rates risk relates primarily from interest-bearing financial liabilities that arising from bank borrowings (Note 18). The Company manages its interest rate exposure by maintaining a prudent mix of fixed and floating rate borrowings. The Company actively reviews its debt portfolio, taking into account the investment holding period and the nature of its assets. This strategy allows it to capitalise on cheaper funding in a low interest rate environment and achieve a certain level of protection against rate hikes.

If the interest rates increase/decrease by 0.5% (2024: 0.5%) with all other variables remain constant, the Company's (loss)/profit before income tax will be lower/higher by approximately S\$1,902 (2024: S\$7,909) as a result of higher/lower interest expense on these bank borrowings.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. For trade receivables, the Company adopts the policy of dealing only with customers with an appropriate credit history, and obtaining sufficient security where appropriate to mitigate credit risk. For other financial assets, the Company adopts the policy of dealing only with high credit quality counterparties.

Credit exposure to an individual counterparty is restricted by credit limits that are approved by the management based on an ongoing credit evaluation. The counterparty's payment profile and credit exposure are continuously monitored by management.

The Company does not identify specific concentrations of credit risk with regards to trade receivables, as the amounts recognised in the statement of financial position resemble a large number of receivables from various customers. As the Company does not hold collateral, the maximum exposure to credit risk for each class of financial instruments is the carrying amount of that class of financial instruments presented on the statement of financial position.

Trade receivables

The Company's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the demographics of the Company's customer base, including the default risk associated with the industry and country in which customers operate, as these factors may have an influence on credit risk.

The Company has established credit policy under which each new customer is analysed individually for creditworthiness before the Company's standard payment and delivery terms and conditions are offered. The Company's review includes external ratings, if they are available, financial statements, credit agency information and industry information and sale limits are established for each customer, which represents the maximum open amount. Customers failing to meet the Company's benchmark creditworthiness may transact with the Company only on a prepayment basis.

The Company has applied the simplified approach in SFRS(I) 9 to measure the loss allowance at lifetime ECL. The Company determined the expected credit losses on trade receivables by using a provision matrix, estimated based on the Company's past two years historical credit loss experience, including their credit characteristics, geographical location, and adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Credit risk (cont'd)

Trade receivables (cont'd)

Exposure to credit risk

The exposure to credit risk for trade receivables at the reporting date by geographic region was as follows:

	<u>2025</u>	<u>2024</u>
	S\$	S\$
<u>By geographical areas</u>		
Singapore	2,302,048	1,176,177
Japan	25,025	-
People's Republic of China	-	17,615
Denmark	649	-
Malaysia	564,440	560,513
Other ASEAN countries	2,239,459	2,552,091
	<u>5,131,621</u>	<u>4,306,396</u>

The Company measures its credit risk on customers based on the Company's internal credit ratings. The internal credit ratings for customers are segmented by geographical region, age of customer relationship and past credit loss experience with the customers and also defined using qualitative and quantitative factors that are indicative of the risk of default. The Company's provision for loss allowance is based on the Company's past due as the Company's historical credit loss experience does not show significantly different loss patterns for different customers' credit rating by geographic region.

The Company's credit risk exposure in relation to trade receivables from contracts with customers under SFRS(I) 9 as at 31 December 2025 are set out in the provision matrix as presented below.

Customer internal credit rating

- A These customers are good pay masters with timely payment within the credit terms. Management is of the opinion that credit risk to these customers are relatively low/minimal, therefore no provision is required.
- B Payment usually takes 1 to 3 months after credit terms. Payment is certain and with low risk of default.
- C Payment usually takes more than 3 months after credit terms. Payment is certain and risk of default are fair.
- D Customers that falls within this category are smaller establishments and has a longer payment process. Risk of default is substandard.
- E Default is possible. Risk of credit impaired is high.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Credit risk (cont'd)

Trade receivables (cont'd)

Exposure to credit risk (cont'd)

Customer internal credit ratings	Weighted average loss rate (%)	Gross carrying amount S\$	Loss allowance S\$	Net carrying amount S\$
<u>2025</u>				
A	0.00%	425,150	-	425,150
B	0.01%	1,744,964	(175)	1,744,789
C	0.37%	122,565	(453)	122,112
D	0.66%	2,858,436	(18,866)	2,839,570
E	100.00%	-	-	-
		5,151,115	(19,494)	5,131,621
<u>2024</u>				
A	0.00%	388,380	-	388,380
B	0.01%	3,336,216	(334)	3,335,882
C	0.34%	21,695	(74)	21,621
D	0.64%	564,123	(3,610)	560,513
E	100.00%	450,850	(450,850)	-
		4,761,264	(454,868)	4,306,396

The movements in credit loss allowance for impairment of trade receivables during the year are as follows:

	Lifetime ECL	
	<u>2025</u> S\$	<u>2024</u> S\$
As at 1 January per SFRS(I) 9	454,868	158,172
Impairment loss recognised in profit or loss during the year		
- Impairment loss recognized in profit or loss	15,475	296,696
- Reversal of impairment loss on trade receivables	(1,222)	-
	14,253	296,696
Bad debt written off	(449,627)	-
As at 31 December per SFRS(I) 9	19,494	454,868

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Credit risk (cont'd)

Exposure to credit risk (cont'd)

Other receivables including non-trade amount owing from subsidiaries

For the purpose of impairment assessment, other receivables are considered to have low credit risk as they are not due for payment at the end of the reporting period and there has been no significant increase in the risk of default on the receivables since initial recognition (other than those disclosed below). Accordingly, for the purpose of impairment assessment for these receivables, the loss allowance is measured at an amount equal to 12-month ECL except as disclosed below.

In determining the ECL, management has taken into account the historical default experience and the financial position of the counterparties, adjusted for factors that are specific to the debtors and general economic conditions of the industry in which the debtors operate, in estimating the probability of default of each of these financial assets occurring within their respective loss assessment time horizon, as well as the loss upon default in each case.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period in measuring the loss allowance using 12-month ECL.

Customer internal credit ratings	Weighted average loss rate (%)	Gross carrying amount S\$	Loss allowance S\$	Net carrying amount S\$
<u>2025</u>				
A	0.00%	167,193	-	167,193
B	0.01%	3,000	(1)	2,999
C	0.37%	-	-	-
D	0.66%	112,167	(740)	111,427
E	100.00%	-	-	-
		<u>282,360</u>	<u>(741)</u>	<u>281,619</u>
<u>2024</u>				
A	0.00%	103,446	-	103,446
B	0.01%	40,267	(4)	40,263
C	0.34%	-	-	-
D	0.64%	104,820	(671)	104,149
E	100.00%	397,575	(397,575)	-
		<u>646,108</u>	<u>(398,250)</u>	<u>247,858</u>

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Credit risk (cont'd)

Exposure to credit risk (cont'd)

Other receivables including non-trade amount owing from subsidiaries (cont'd)

The following table shows the movement in relation to credit loss allowance for impairment of other receivables during the year:

	12-month ECL	
	<u>2025</u>	<u>2024</u>
	S\$	S\$
Balance as at 1 January	398,250	295,120
Impairment loss recognised in profit or loss during the year		
- Impairment loss recognised in profit or loss*	66	103,130
- Reversal of impairment loss on other receivables	(6,307)	-
	(6,241)	103,130
Bad debt written off	(391,268)	-
Balance as at 31 December	<u>741</u>	<u>398,250</u>

* The impairment loss recognised relates to the estimated credit losses on certain other receivables, as there has been a significant increase in credit risk since initial recognition. The loss allowance for these receivables have been accordingly measured using lifetime ECL.

Cash and cash equivalents

Bank deposits are with reputable financial institutions with high credit-ratings assigned by international credit-rating agencies. Impairment on cash and cash equivalents has been measured on the 12-month expected loss basis and reflects the short maturities of the exposures. The Company considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties. The Company uses a similar approach for assessment of ECL for cash and cash equivalents those used for debt investments. The amount of the allowance on cash and cash equivalents was immaterial.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Credit risk (cont'd)

Credit risk grading guideline

The Company's dedicated risk management team management has established the Company's internal credit risk grading to the different exposures according to their degree of default risk. The internal credit risk grading which are used to report the Company's credit risk exposure to key management personnel for credit risk management purposes are as follows:

Categories	Description	Basis of recognition of expected credit loss (ECL)
Performing	The counterparty has a low risk of default and does not have any past-due amounts.	12-month ECL
Under-performing	There has been a significant increase in credit risk since initial recognition.	Lifetime ECL (not credit-impaired)
Non-performing	There is evidence indicating that the asset is credit impaired.	Lifetime ECL (credit-impaired)
Write-off	There is evidence indicating that there is no reasonable expectation of recovery as the debtor is in severe financial difficulty.	Asset is written off

Credit risk exposure and significant credit risk concentration

The credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating grades is presented as follows:

	Internal rating/ external rating	<u>ECL</u>	Gross <u>amount</u> S\$	Loss <u>allowance</u> S\$	Net carrying <u>amount</u> S\$
<u>2025</u>					
Trade receivables	Note 1	Lifetime ECL (simplified)	5,151,115	(19,494)	5,131,621
Other receivables*	Performing	12-month ECL	167,193	-	167,193
Other receivables*	Under-performing	Lifetime ECL (not credit impaired)	115,167	(741)	114,426
Cash and cash equivalents#	AA to A	12-month ECL	525,554	-	525,554

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Credit risk (cont'd)

Credit risk exposure and significant credit risk concentration (cont'd)

The credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating grades is presented as follows: (cont'd)

	Internal rating/ external rating	<u>ECL</u>	Gross amount S\$	Loss allowance S\$	Net carrying amount S\$
<u>2024</u>					
Trade receivables	Note 1	Lifetime ECL (simplified)	4,761,264	(454,868)	4,306,396
Other receivables*	Performing	12-month ECL	103,446	-	103,446
Other receivables*	Under-performing	Lifetime ECL (not credit impaired)	145,087	(675)	144,412
Other receivables*	Non-performing	Lifetime ECL (credit impaired)	397,575	(397,575)	-
Cash and cash equivalents#	AA to A	12-month ECL	1,464,030	-	1,464,030

Note 1

The Company has applied the simplified approach in SFRS(I) 9 to measure the loss allowance at lifetime ECL.

Note 2

The Company measured the impairment loss allowance using 12-month ECL.

* Excluded prepayments, advances paid to suppliers and GST receivables

Most of the bank deposits are with the banks/financial institutions with international credit rating of AA to A. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and financial liabilities. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities.

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(a) Financial Risk Management Objectives and Policies (cont'd)

Liquidity risk (cont'd)

In the management of its liquidity risk, the Company monitors its liquidity risk by maintaining a level of cash and cash equivalents deemed adequate by the management to finance the Company's operations and mitigate the effects of fluctuations in cash flows.

The table below analyses the maturity profile of the Company's financial liabilities based on contractual undiscounted cash flows.

	<u>Carrying amount</u> S\$	<u>Contractual cash flows</u> S\$	<u>Within one year</u> S\$	<u>Within two to five years</u> S\$
<u>31 December 2025</u>				
Bank borrowings	445,944	446,089	446,089	-
Trade and other payables	3,026,376	3,026,376	3,026,376	-
Lease liabilities	104,708	107,743	15,392	92,351
	<u>3,577,028</u>	<u>3,580,208</u>	<u>3,487,857</u>	<u>92,351</u>
<u>31 December 2024</u>				
Bank borrowings	2,011,855	2,021,548	1,896,472	125,076
Trade and other payables	1,578,556	1,578,556	1,578,556	-
	<u>3,590,411</u>	<u>3,600,104</u>	<u>3,475,028</u>	<u>125,076</u>

(b) Fair Value

The Company categories fair value measurements using a fair value hierarchy that is dependent on the valuation inputs used as follows:

- i. quoted prices (unadjusted) in active markets for identical assets or liabilities that the Company can access at the measurement date (Level 1);
- ii. inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices) (Level 2); and
- iii. inputs for the asset or liability that are not based on observable market data (unobservable inputs) (Level 3).

TDS TECHNOLOGY (S) PTE LTD
(Incorporated in Singapore)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2025

22 Financial Instruments (cont'd)

(b) Fair Value (cont'd)

Fair value measurements that use inputs of different hierarchy levels are categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair value of financial assets and financial liabilities

The fair values of financial assets and financial liabilities of the Company with a maturity of less than one year are assumed to approximate their respective carrying amounts because of the relatively short term nature of these financial instruments.

Non-current financial liabilities

The fair values of long-term bank borrowings approximate their carrying amounts as estimated by using discounted cash flow analysis based on current lending rates for similar types of lending and borrowing arrangements.

23 Capital Management

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern and to maintain an optimal capital structure so as to maximise shareholders' value. The Company manages its capital structure, and makes adjustment to it, in the light of changes in economic conditions. In order to maintain or achieve an optimal capital structure, the Company may adjust the amount of dividend payment, return capital to shareholders, issue new shares, obtain new borrowings or sell assets to reduce borrowings. No changes were made in the objectives, policies or processes during the financial years ended 31 December 2025 and 2024.

The Company monitors capital using a net debt-to-equity ratio, which is net debt divided by total equity. Net debt includes total liabilities (exclude deferred tax liabilities and income tax liabilities) less cash and cash equivalents. Total equity includes equity attributable to the equity holders of the Company.

	<u>2025</u> S\$	<u>2024</u> S\$
Net debt	3,702,858	2,315,833
Total equity	3,967,559	4,233,886
Net debt-to-equity ratio	93%	55%

The Company is not subject to any externally imposed capital requirement for the financial years ended 31 December 2025 and 2024.